Week 7

Assessing a New Venture's *Financial Strength* and Viability

MG4011

Instructor: Dr. Saif Maqbool

Reading Book Chapter: 08

Book Name: Entrepreneurship by Bruce R. Barringer & R. Duane Ireland 6e

Learning Objectives – Chapter 8

- Learn about the importance of understanding the financial management of an entrepreneurial firm.
- Identify the four main financial objectives of entrepreneurial firms.
- Describe the process of financial management as used in entrepreneurial firms.
- Explain the difference between historical and pro forma financial statements.
- Describe the different historical financial statements and their purpose.
- Discuss the role of forecasts in projecting a firm's future income and expenses.
- Explain the purpose of pro forma financial statements.

Choosing a Form of Business Ownership

When a business is launched, a form of legal entity must be chosen. The most common legal entities are shown below:

- Sole Proprietorship
- Partnership
- Limited Liability Company

Types of Business

- Classification by activities
- Classification by ownership

Classification by Activity

1. MANUFACTURING BUSINESS:

- Business in which raw material (Inputs) converted into finished goods (Outputs)

2. TRADING BUSINESS:

- Merchandisers (Wholesaler & Retailer) purchase goods from one place and sell them to the other with a profit margin.

3. SERVICES BUSINESS:

- A business in which professionals rendered the services is known as services business.

Classification by Ownership

1. SOLE TRADER

- An individual can run his or her own business, either alone as one person operation or as a business owner with several employees. The owner is entitled to all the profits and suffers all the losses made by the business.

2. PARTNERSHIP

- Two or more people working together with the idea of generating profit from a business are known as partners. The partners agree how the firm should be run. Partners share profits and losses in accordance with their agreement.

Classification by Ownership (Cont.)

3. LIMITED COMPANY

- Limited companies are a very common type of business because they offer the benefit of limited liability. The owners are called shareholders and their investment in the business is measured in shares, sometimes called stock.
- Meaning the liability of the shareholders is limited to the amount that they invest in the shares of the company. In case the company goes into liquidation the personal assets of the owners cannot be used to payoff the debts of the business.

Limited companies are of two types:

- Public (share issue to anyone)
- Private (share issue restricted to friends and family)

Issues to Consider in Choosing a Legal Form of Business Ownership

Factors Critical in Selecting a Form of Business Organization

- The Cost of Setting Up and Maintaining the Legal Form
- The Extent to Which Personal Assets Can Be Shielded from the Liabilities of the Business
- Tax Considerations
- The Number and Types of Investors Involved

Form of Business Ownership

SOLE PROPRIETORSHIP	PARTNERSHIP	JOINT STOCK COMPANY
"Sole proprietorship form of business ownership in which the Business is owned and operated by one person".	Partnership is the relation between persons who have agreed to share the profits of a business carried on by all or anyone acting for all (Partnership act 1932) (Poonch House)	A company is an artificial person created by law having a separate entity with a perpetual succession and common seal. (company ordinance1984) (SECP)

Formation of Business

SOLE PROPRIETORSHIP	PARTNERSHIP	JOINT STOCK COMPANY
No separate legal entity	Registration application	Promotion stage
	Verification of documents	Incorporation stage
	Changes (if applicable)	Subscription of capital
	Penalties (if wrong statement provided)	Commencement of business

Sole Proprietorship

- The simplest form of business entity is the sole proprietorship.
- A sole proprietorship is a form of business organization involving one person, and the person and the business are essentially the same.
- A sole proprietorship is not a separate legal entity. The sole proprietor is responsible for all the liabilities of the business, and this is a significant drawback.

SOLE PROPRIETORSHIP

Advantages and Disadvantages of a Sole Proprietorship

Advantages

- Creating one is easy and inexpensive.
- The owner maintains complete control of the business and retains all of the profits.
- Business losses can be deducted against the sole proprietor's other sources of income.
- It is not subject to double taxation (explained later).
- The business is easy to dissolve.

Disadvantages

- Liability on the owner's part is unlimited.
- The business relies on the skills and abilities of a single owner to be successful. Of course, the owner can hire employees who have additional skills and abilities.
- Raising capital can be difficult.
- The business ends at the owner's death or loss of interest in the business.
- The liquidity of the owner's investment is low.

Partnerships

- If two or more people start a business, they must organize as a partnership, corporation, or limited liability company.
- Partnerships are organized as either general or limited liability partnerships.

PARTNERSHIP

Partnership → **An association of two or more individuals who agree to operate a business together for profit.**

Classification of Company

There are mainly two types of Company

Private Limited Company

Public Limited Company

Advantages of Private Limited Company

Advantages of Private Ltd. Company

- **Large sum of Capital**
- **Limited Liability**
- **Control Over Business**

Private Ltd. Company Will Be Suitable For

- For family businesses
- Who wants to raise sufficient funds
- Partners are well-known to each other

Public Limited Company & its Features

A Public Limited Company must have at least seven members to form it.

There is no restriction on the maximum Number of shares

Invites People to Purchase its Shares

The Liability of the Members is Limited

Shares are Freely Sold and Purchased

Advantages of Public Limited Company

Advantages of Public Ltd. Company

- **Limited Liability**
- **Continuity**
- **Transferability of Shares**
- **Large Amount of Capital**
- **High Reputation**

Financial Management (1 of 2)

- Financial management deals with two things: raising money and managing a company's finances in a way that achieves the highest rate of return.
- Chapter 10 focuses on raising money. This chapter focuses primarily on:
  - How a new venture tracks its financial progress through preparing, analyzing, and maintaining past financial statements.
  - How a new venture forecasts future income and expenses by preparing pro forma (or projected) financial statements.

Financial Management (2 of 2)

The financial management of a firm deals with questions such as the following on an ongoing basis:

- How are we doing? Are we making or losing money?
- How much cash do we have on hand?
- Do we have enough cash to meet our short-term obligations?
- How efficiently are we utilizing our assets?
- How do our growth and net profits compare to those of our industry peers?
- Where will the funds we need for capital improvements come from?
- Are there ways we can partner with other firms to share risk and reduce the amount of cash we need?
- Overall, are we in good shape financially?

Financial Objectives of a Firm (1 of 3)

Figure 8.1 Primary Financial Objectives of Entrepreneurial Firms

Profitability	Liquidity	Efficiency	Stability
A company's ability to make a profit	A company's ability to meet its short-term obligations	How productively a firm utilizes its assets	The overall health of the financial structure of the firm, particularly as it relates to its debt-to-equity ratio

Financial Objectives of a Firm (2 of 3)

Profitability

Is the ability to earn a profit.

- Many start-ups are not profitable during their first one to three years while they are training employees and building their brands.
- However, a firm must become profitable to remain viable and provide a return to its owners.

Liquidity

Is a company's ability to meet its short-term financial obligations.

- Even if a firm is profitable, it is often a challenge to keep enough money in the bank to meet its routine obligations in a timely manner.

Financial Objectives of a Firm (3 of 3)

Efficiency

Is how productively a firm utilizing its assets relative to its revenue and its profits.

- Southwest Airlines, for example, uses its assets very productively. Its turnaround time, or the time its airplanes sit on the ground while they are being unloaded and reloaded, is the lowest in the airline industry.

Stability

Is the strength and vigor of the firm's overall financial posture.

- For a firm to be stable, it must not only earn a profit and remain liquid but also keep its debt in check.

The Process of Financial Management (1 of 3)

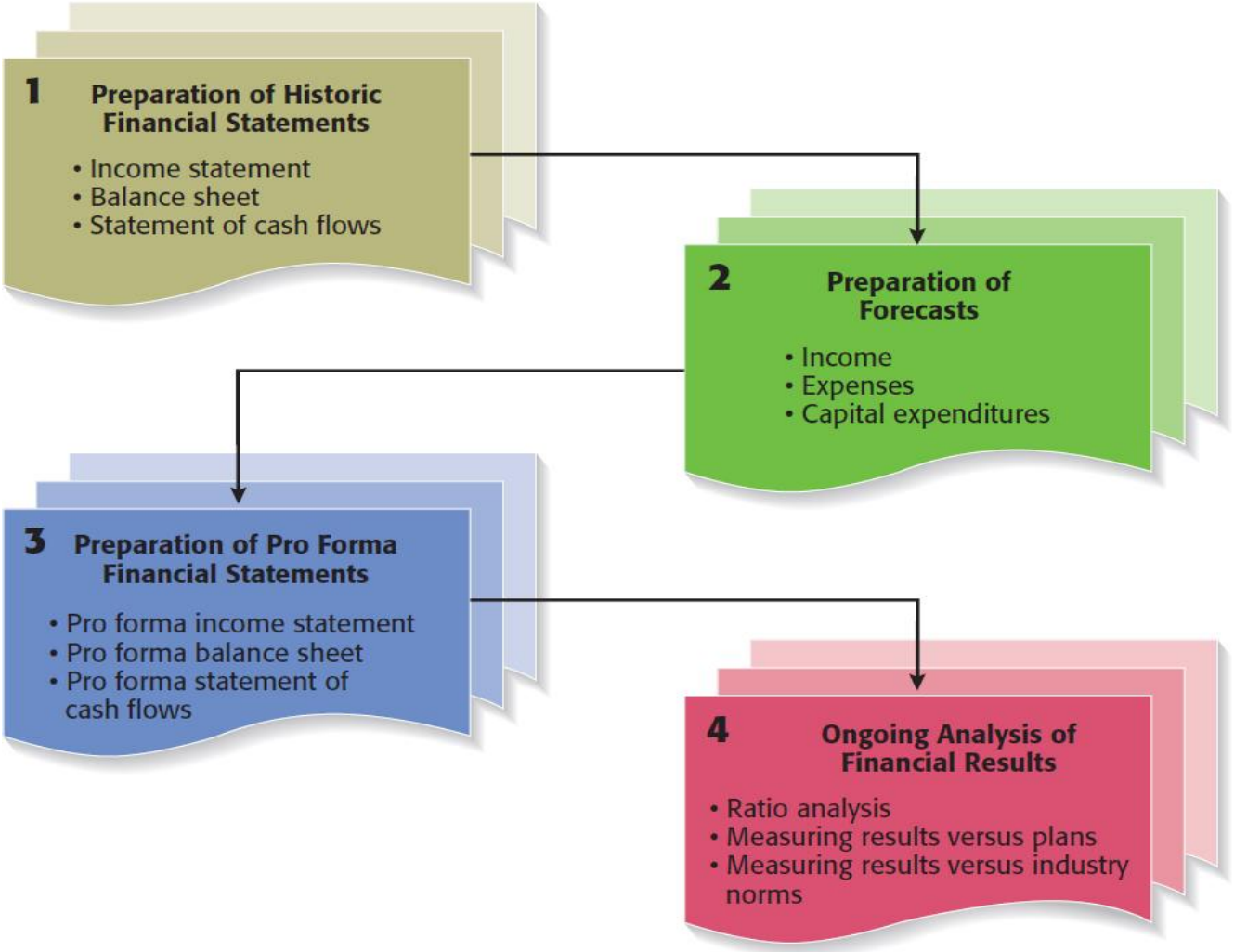
- **Importance of Financial Statements**
  - To assess whether its financial objectives are being met, firms rely heavily on analysis of financial statements.
    - A ***financial statement*** is a written report that quantitatively describes a firm's financial health.
    - The ***income statement***, the ***balance sheet***, and the ***statement of cash flows*** are the financial statements entrepreneurs use most commonly.
- **Forecasts**
  - Are an estimate of a firm's future income and expenses, based on past performance, its current circumstances, and its future plans.
  - New ventures typically base their forecasts on an estimate of sales and then on industry averages or the experiences of similar start-ups regarding the cost of goods sold and other expenses

The Process of Financial Management (2 of 3)

- **Budgets**
  - Are itemized forecasts of a company's income, expenses, and capital needs and are also an important tool for financial planning and control.
- **Financial Ratios**
  - Depict relationships between items on a firm's financial statements.
  - An analysis of its financial ratios helps a firm determine whether it is meeting its financial objectives and how it stacks up against industry peers.
- **Importance of Financial Management**
  - Many experienced entrepreneurs stress the importance of keeping on top of the financial management of the firm.

The Process of Financial Management

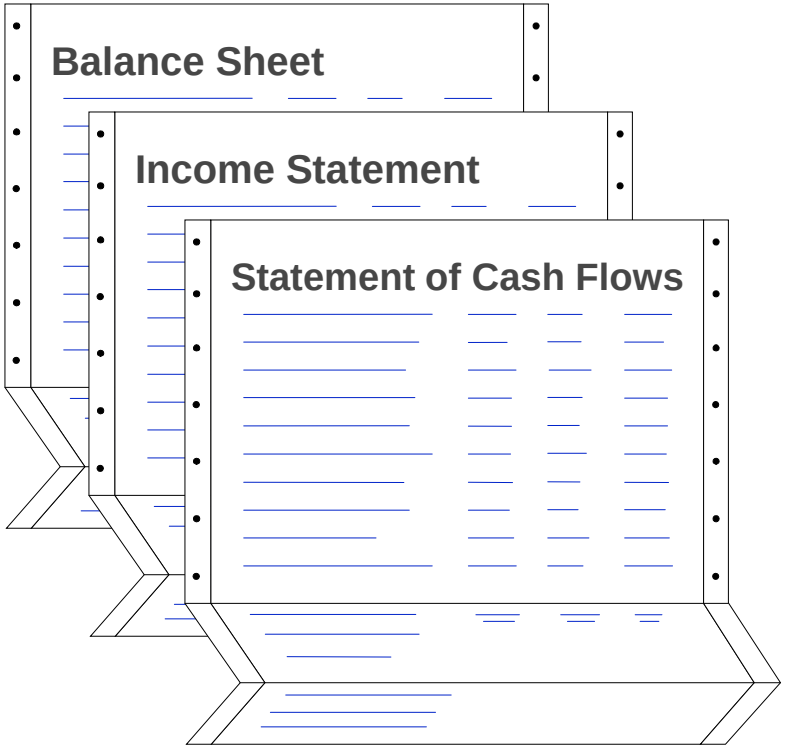
(3 of 3)



Financial Statements

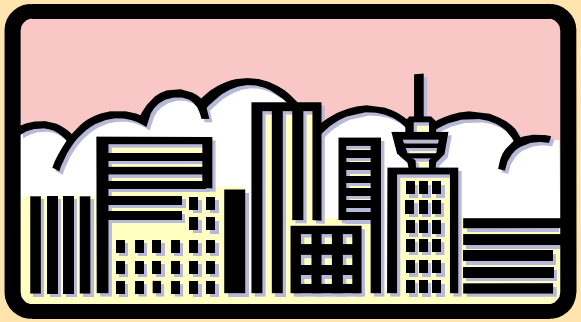
- **Historical Financial Statements**
  - Reflect past performance and are usually prepared on a quarterly and annual basis.
    - Publicly traded firms are required by the SECP to prepare financial statements and make them available to the public.
- **Pro Forma Financial Statements**
  - Are projections for future periods based on forecasts and are typically completed for 2-3 years in the future.
    - Pro forma financial statements are strictly planning tools and are not required by the SECP.

Financial Statements

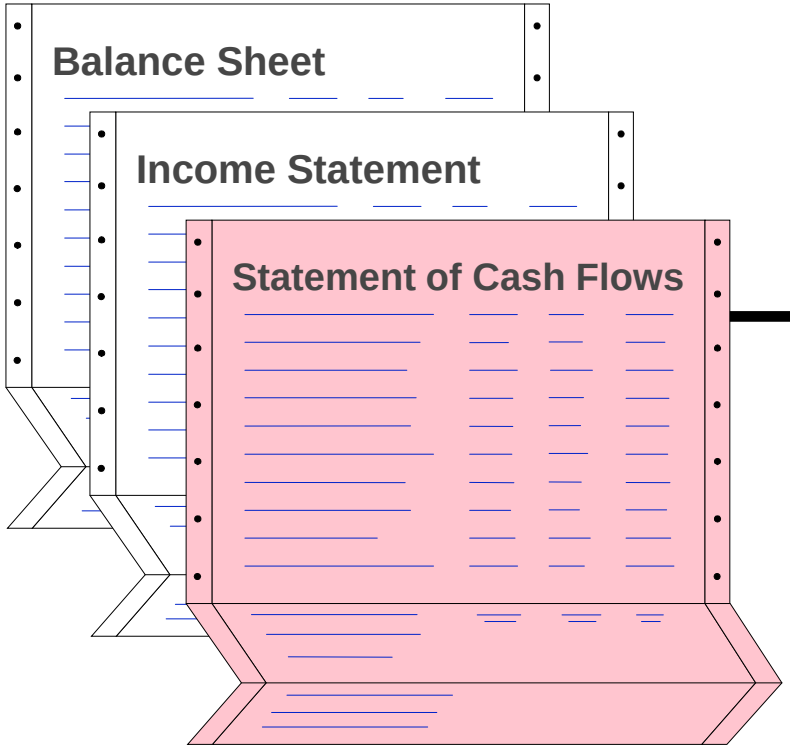


Three primary financial statements.

We will use a corporation to describe these statements.

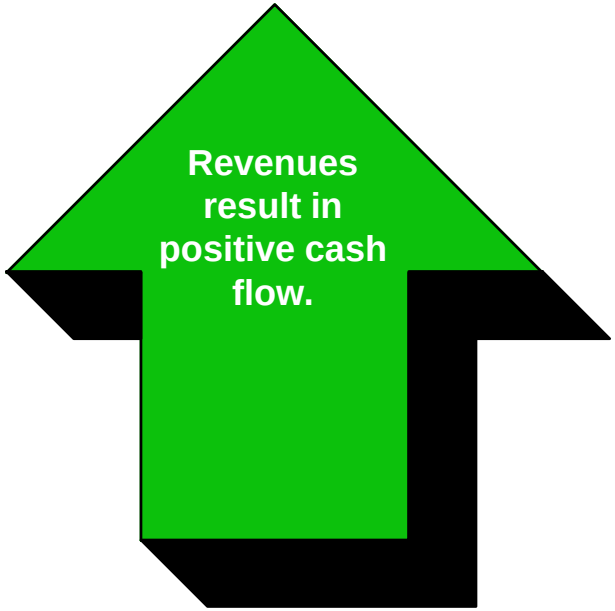


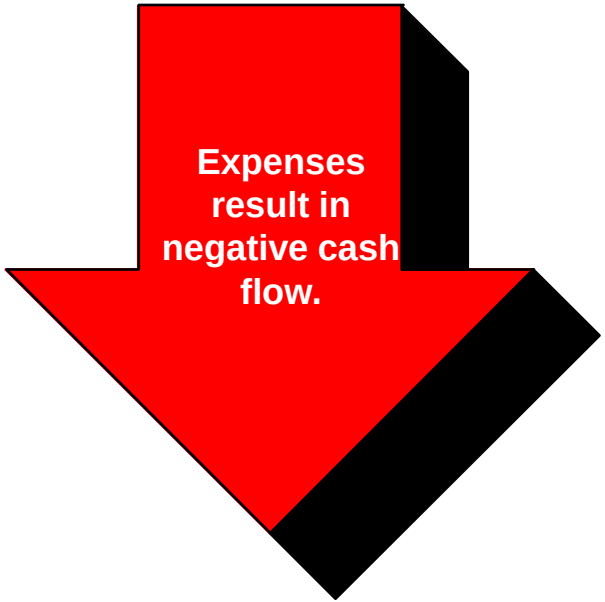
Financial Statements



Depicts the ways cash has changed during a designated period of time.

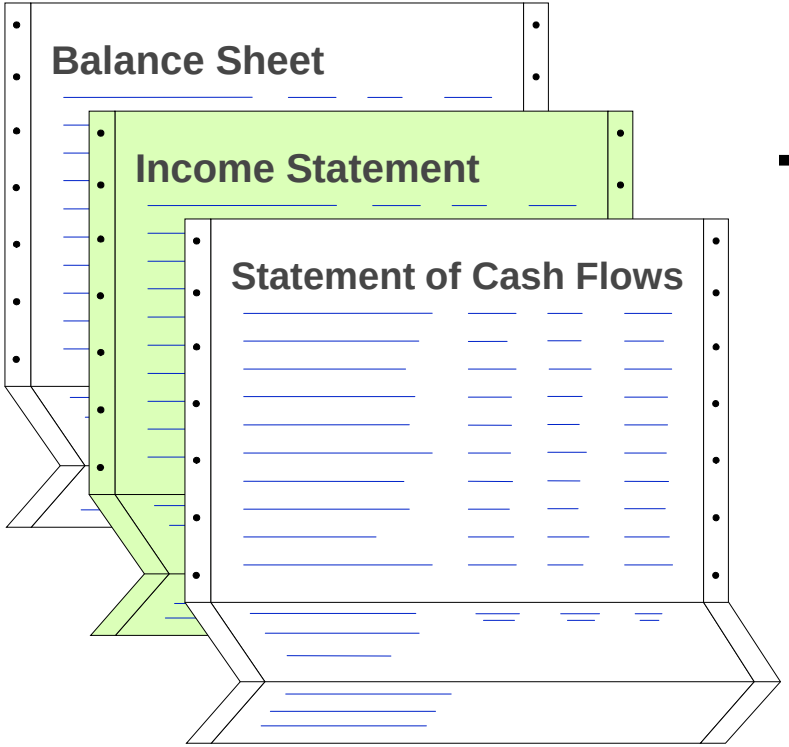
Financial Statements





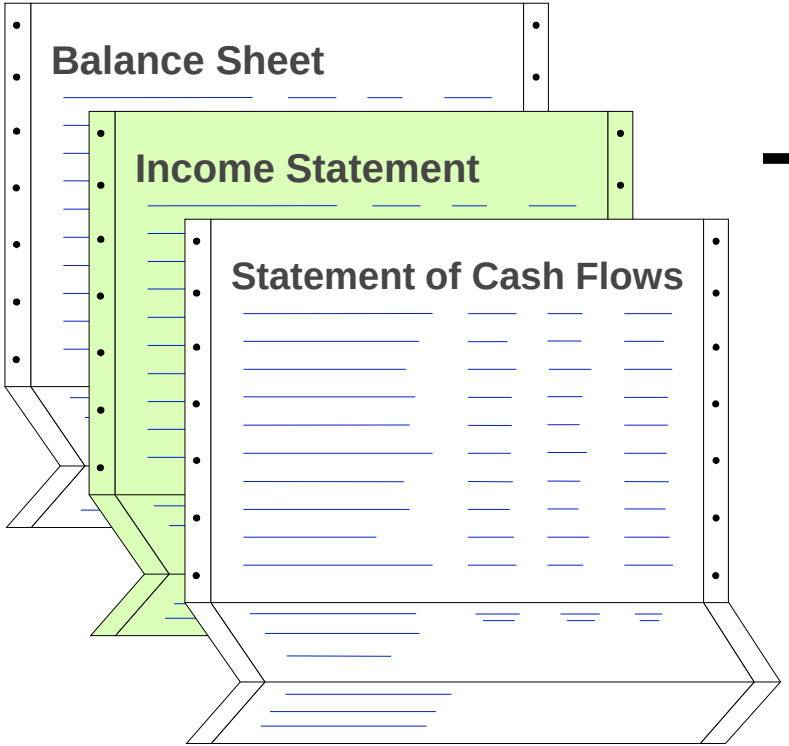
Either in the past, present, or future.

Financial Statements



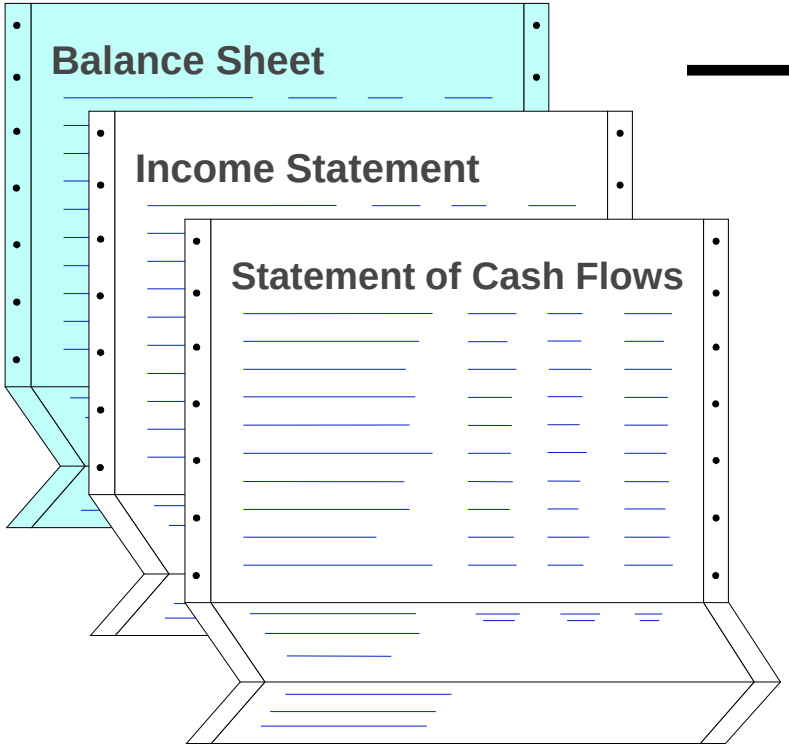
Depicts the revenue and expenses for a designated period of time.

Financial Statements



Net income (or net loss) is simply the difference between revenues and expenses.

Financial Statements



Describes where the enterprise stands at a specific date.

Assets

Vagabond Travel Agency Balance Sheet December 31, 2005			
Assets		**Liabilities & Owners' Equity**	
Cash	$ 22,500	Liabilities:	
Notes receivable	10,000	Notes payable	$ 41,000
Accounts receivable	60,500	Accounts payable	36,000
Supplies	2,000	Salaries payable	3,000
Land	100,000	Total liabilities	$ 80,000
Building	90,000	Owners' Equity:	
Office equipment	15,000	Capital stock	150,000
		Retained earnings	70,000
Total	$300,000	Total	$300,000

Assets are economic resources that are owned by the business and are expected to provide positive future cash flows.

Liabilities

Vagabond Travel Agency Balance Sheet December 31, 2005			
Assets		**Liabilities & Owners' Equity**	
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Building	90,000	Owners' Equity:	
Office equipment	15,000	Capital stock	150,000
		Retained earnings	70,000
Total	$300,000	Total	$300,000

Liabilities are debts that represent negative future cash flows for the enterprise.

Owners' Equity

Changes in Owners' Equity

Owners' Equity

Vagabond Travel Agency Balance Sheet December 31, 2005			
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Office equipment	15,000	Capital stock	150,000
		Retained earnings	70,000
Total	$300,000	Total	$300,000

Owners' equity represents the owners' claims to the assets of the business.

Reporting Ownership Equity in the Balance Sheet

Sole Proprietorship

Owner's equity:		
Jill Jones, capital	$	8,000

Partnership

Partners' equity				
Jill Jones, capital	$	4,000		
Bill Jones, capital		4,000		
Total partners' equity			$	8,000

Corporation

Owners' equity				
Capital stock	$	7,000		
Retained earnings		1,000		
Total stockholders' equity			$	8,000

Accounting Equation

Assets	=	Liabilities	+	Owners' Equity
$300,000	=	$80,000	+	$220,000

Vagabond Travel Agency
Balance Sheet
December 31, 2005

Assets		Liabilities & Owners' Equity	
Cash	$ 22,500	Liabilities:	
Notes receivable	10,000	Notes payable	$ 41,000
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Building	90,000	Owners' Equity	
Office equipment	15,000	Capital stock	150,000
		Retained earnings	70,000
Total	$300,000	Total	$300,000

New Venture Fitness Drinks

New Venture Fitness Drinks

- To illustrate how financial statements are prepared, we used New Venture Fitness Drinks, the fictitious sports drink company introduced in Chapter 3.
  - New Venture Fitness Drinks has been in business for five years.
  - Targeting sports enthusiasts, the company sells a line of nutritional fitness drinks.
  - It opened a single location in 2016, added a second location in 2018, and plans to add a third in 2019.
  - The company's strategy is to place small restaurants, similar to smoothie restaurants, near large outdoor sports complexes.
  - The company is profitable and is growing at a rate of 25% per year.

Historical Income Statements

Consolidated Income Statements for New Venture Fitness Drinks, Inc.

	Dec 31, 2018	Dec 31, 2017	Dec 31, 2016
Net sales	$586,600	$463,100	$368,900
Cost of sales	268,900	225,500	201,500
Gross profit	317,700	237,600	167,400
Operating expenses			
Selling, general, and administrative expenses	117,800	104,700	90,200
Depreciation	13,500	5,900	5,100
Operating income	186,400	127,000	72,100
Other income			
Interest income	1,900	800	1,100
Interest expense	(15,000)	(6,900)	(6,400)
Other income (expense), net	10,900	(1,300)	1,200
Income before income taxes	184,200	119,600	68,000
Income tax expense	53,200	36,600	18,000
Net income	131,000	83,000	50,000

Consolidated Balance Sheets for New Venture Fitness Drinks, Inc.

Historical Balance Sheets (1 of 2)

Assets	Dec 31, 2018	Dec 31, 2017	Dec 31, 2016
Current assets			
Cash and cash equivalents	$63,800	$54,600	$56,500
Accounts receivable, less allowance for doubtful accounts	39,600	48,900	50,200
Inventories	19,200	20,400	21,400
Total current assets	122,600	123,900	128,100
Property, plant, and equipment			
Land	260,000	160,000	160,000
Buildings and equipment	412,000	261,500	149,000
Total property, plant, and equipment	672,000	421,500	309,000
Less: accumulated depreciation	65,000	51,500	45,600
Net property, plant, and equipment	607,000	370,000	263,400
Total assets	729,600	493,900	391,500

Historical Balance Sheets (2 of 2)

Consolidated Balance Sheets for New Venture Fitness Drinks, Inc.

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Assets	Dec 31, 2018	Dec 31, 2017	Dec 31, 2016
Liabilities and shareholders' equity			
Current liabilities			
Accounts payable	30,200	46,900	50,400
Accrued expenses	9,900	8,000	4,100
Total current liabilities	40,100	54,900	54,500
Long-term liabilities Long-term debt	249,500	130,000	111,000
Long-term liabilities	249,500	130,000	111,000
Total liabilities	289,600	184,900	165,500
Shareholders' equity			
Common stock (100,000 shares)	10,000	10,000	10,000
Retained earnings	430,000	299,000	216,000
Total shareholders' equity	440,000	309,000	226,000
Total liabilities and shareholders' equity	729,600	493,900	391,500

Historical Statement of Cash Flows (1 of 2)

Statement of Cash Flows for New Venture Fitness Drinks, Inc.

	Dec 31, 2018	Dec 31, 2017
Cash flows from operating activities		
Net income	$131,000	$83,000
Additions (sources of cash)		
Depreciation	13,500	5,900
Decreases in accounts receivable	9,300	1,300
Increase in accrued expenses	1,900	3,900
Decrease in inventory	1,200	1,000
Subtractions (uses of cash)		
Decrease in accounts payable	(16,700)	(3,500)
Total adjustments	9,200	8,600
Net cash provided by operating activities	140,200	91,600
Cash flows from investing activities		

Historical Statement of Cash Flows (2 of 2)

Statement of Cash Flows for New Venture Fitness Drinks, Inc.

	Dec 31, 2018	Dec 31, 2017
Purchase of building and equipment	(250,500)	(112,500)
Net cash flows provided by investing activities	(250,500)	(112,500)
Cash flows from financing activities		
Proceeds from increase in long-term debt	119,500	19,000
Net cash flows provided by financing activities	119,500	19,000
Increase in cash	9,200	(1,900)
Cash and cash equivalents at the beginning of each year	54,600	56,500
Cash and cash equivalents at the end of each year	63,800	54,600

Ratio Analysis

- **Ratio Analysis**
  - The most practical way to interpret or make sense of a firm's historical financial statements is through ratio analysis.
- **Comparing a Firm's Financial Results to Industry Norms**
  - Comparing a firm's financial results to industry norms helps a firm determine how it stacks up against its competitors and if there are any financial "red flags" requiring attention.

Historical Ratio Analysis

Ratio	Formula	2018	2017	2016
Profitability ratios:				
Return on assets	ROA = net income/average total assets[a]	21.4%	18.7%	14.7%
Return on equity	ROE = net income/average shareholders' equity[b]	35.0%	31.0%	24.9%
Profit margin	Profit margin = net income/net sales	22.3%	17.9%	13.6%
Liquidity ratios:				
Current	Current assets/current liabilities	3.06	2.26	2.35
Quick	Quick assets/current liabilities	2.58	1.89	1.96
Overall financial stability ratio:				
Debt	Total debt/total assets	39.7%	37.4%	42.3%
Debt to equity	Total liabilities/owners' equity	65.8%	59.8%	73.2%

Forecasts (1 of 4)

- The preparation of forecasts follows the analysis of a firm's historical financial statements.
- Forecasts are predictions of a firm's future sales, expenses, income, and capital expenditures.
  - A firm's forecasts provide the basis for its pro forma financial statements.
  - A well-developed set of pro forma financial statements helps a firm create accurate budgets, build financial plans, and manage its finances in a proactive rather than a reactive manner.

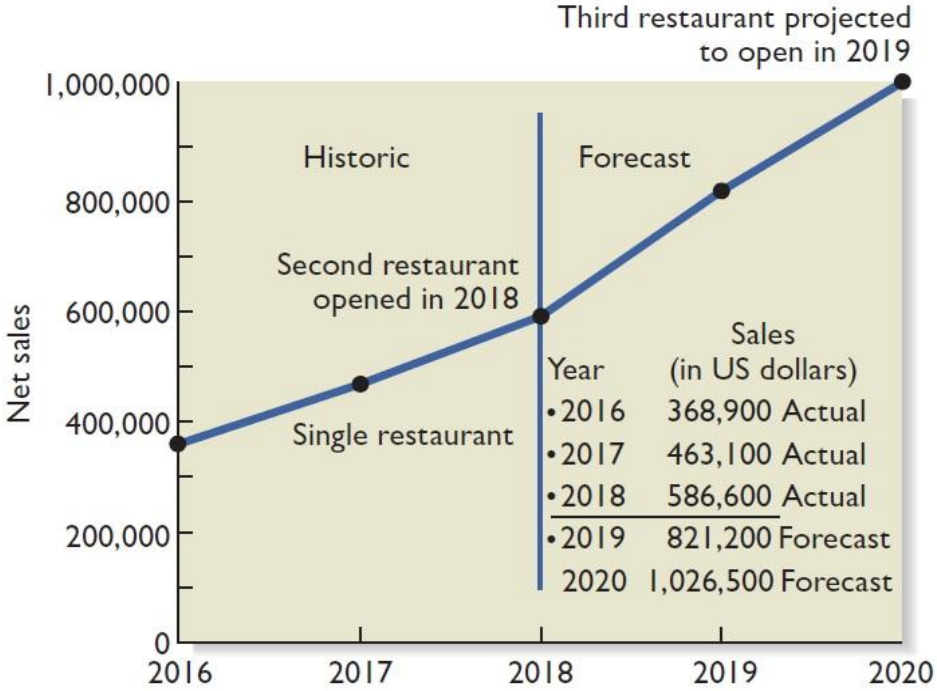
Forecasts (2 of 4)

Sales Forecast

- A sales forecast is a projection of a firm's sales for a specified period (such as a year).
- It is the first forecast developed and is the basis for most of the other forecasts.
  - A sales forecast for a new firm is based on a good-faith estimate of sales and industry averages or the experiences of similar start-ups.
  - A sales forecast for an existing firm is based on (1) its record of past sales, (2) its current production capacity and product demand, and (3) any factors that will affect its future production capacity and product demand.

Forecasts (3 of 4)

Figure 8.3 Historical and Forecasted Annual Sales for New Venture Fitness Drinks



Forecasts (4 of 4)

- **Forecast of Costs of Sales and Other Items**
  - Once a firm has completed its sales forecast, it must forecast its cost of sales (or cost of goods sold) and the other items on its income statement.
  - The most common way to do this is to use the **percent-of-sales method,** which is a method for expressing each expense item as a percentage of sales.
    - If a firm determines that it can use the percent-of-sales method and it follows the procedures described in the textbook, then the net result is that each expense item on its income statement will grow at the same rate as sales (except items that can be individually forecast, such as depreciation).

Pro Forma Financial Statements

- **Pro Forma Financial Statements**
  - A firm's pro forma financial statements are similar to its historical financial statements except that they look forward rather than track the past.
  - The preparation of pro forma financial statements helps a firm rethink its strategies and make adjustments if necessary.
  - The preparation of pro forma financials is also necessary if a firm is seeking funding or financing.

Types of Pro Forma Financial Statements

Financial Statement	Purpose
Pro Forma Income Statement	Shows the projected financial results of the operations of a firm over a specific period.
Pro Forma Balance Sheet	Shows a projected snapshot of a company's assets, liabilities, and owner's equity at a specific point in time.
Pro Forma Statement of Cash flows	Shows the projected flow of cash into and out of a company for a specific period.

Pro Forma Income Statements

	2018 Actual	2019 Projected	2020 Projected
Net sales	$586,600	$821,200	$1,026,500
Cost of sales	268,900	390,000	487,600
Gross profit	317,700	431,200	538,900
Operating expenses			
Selling, general, and administrative expenses	117,800	205,300	256,600
Depreciation	13,500	18,500	22,500
Operating income	186,400	207,400	259,800
Other income			
Interest income	1,900	2,000	2,000
Interest expense	(15,000)	(17,500)	(17,000)
Other income (expense), net	10,900	20,000	20,000
Income before income taxes	184,200	211,900	264,800
Income tax expense	53,200	63,600	79,400
Net income	131,000	148,300	185,400
Earnings per share	1.31	1.48	1.85

Pro Forma Balance Sheets (1 of 2)

Pro Forma Balance Sheets for New Venture Fitness Drinks, Inc.

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Assets	December 31, 2018	Projected 2019	Projected 2020
Current assets			
Cash and cash equivalents	$63,800	$53,400	$80,200
Accounts receivable, less allowance for doubtful accounts	39,600	57,500	71,900
Inventories	19,200	32,900	41,000
Total current assets	122,600	143,800	193,100
Property, plant, and equipment			
Land	260,000	260,000	360,000
Buildings and equipment	412,000	512,000	687,000
Total property, plant, and equipment	672,000	772,000	1,047,000
Less: accumulated depreciation	65,000	83,500	106,000
Net property, plant, and equipment	607,000	688,500	941,000
Total assets	729,600	832,300	1,134,100

Pro Forma Balance Sheets (2 of 2)

Assets	December 31, 2018	Projected 2019	Projected 2020
Liabilities and shareholders' equity			
Current liabilities			
Accounts payable	30,200	57,500	71,900
Accrued expenses	9,900	12,000	14,000
Total current liabilities	40,100	69,500	85,900
Long-term liabilities			
Long-term debt	249,500	174,500	274,500
Total long-term liabilities	249,500	174,500	274,500
Total liabilities	289,600	244,000	360,400
Shareholders' equity			
Common stock (100,000 shares)	10,000	10,000	10,000
Retained earnings	430,000	578,300	763,700
Total shareholders' equity	440,000	588,300	773,700
Total liabilities and shareholders' equity	729,600	832,300	1,134,100

Pro Forma Statement of Cash Flows (1 of 2)

Pro Forma Statement of Cash Flows for New Venture Fitness Drinks, Inc.

	December 31, 2018	Projected 2019	Projected 2020
Cash flows from operating activities			
Net income	$131,000	$148,300	$185,400
Changes in working capital			
Depreciation	13,500	18,500	22,500
Increase (decrease) in accounts receivable	9,300	(17,900)	(14,400)
Increase (decrease) in accrued expenses	1,900	2,100	2,000
Increase (decrease) in inventory	1,200	(13,700)	(8,100)
Increase (decrease) in accounts payable	(16,700)	27,300	14,400
Total adjustments	9,200	16,300	16,400
Net cash provided by operating activities	140,200	164,600	201,800

Pro Forma Statement of Cash Flows (2 of 2)

(continued)

	December 31, 2018	Projected 2019	Projected 2020
Cash flows from investing activities			
Purchase of building and equipment	(250,500)	(100,000)	(275,000)
Net cash flows provided by investing activities	(250,500)	(100,000)	(275,000)
Cash flows from financing activities			
Proceeds from increase in long-term debt	119,500	–	100,000
Principle reduction in long-term debt		(75,000)	
Net cash flows provided by financing activities			
Increase in cash	9,200	(10,400)	26,800
Cash and cash equivalents at the beginning of the year	54,600	63,800	53,400
Cash and cash equivalents at the end of the year	63,800	53,400	80,200

Ratio Analysis (2 of 2)

- **Ratio Analysis**
  - The same financial ratios used to evaluate a firm's historical financial statements should be used to evaluate the pro forma financial statements.
  - This work is completed so the firm can get a sense of how its projected financial performance compares to its past performance and how its projected activities will affect its cash position and its overall financial soundness.

Ratio Analysis Based on Historical and Pro-Forma Financial Statements

Ratio Analysis of Historical and Pro Forma Financial Statements for New Venture Fitness Drinks, Inc.

Ratio	Historical 2016	Historical 2017	Historical 2018	Projected 2019	Projected 2020
Profitability ratios					
Return on assets	14.7%	18.7%	21.4%	19.0%	18.9%
Return on equity	24.9%	31.0%	35.0%	28.9%	27.2%
Profit margin	13.6%	17.9%	22.3%	18.1%	18.1%
Liquidity ratios					
Current	2.35	2.26	3.05	2.07	2.24
Quick	1.96	1.89	2.58	1.60	1.78
Overall financial stability ratios					
Debt	42.3%	37.4%	39.7%	29.3%	31.8%
Debt to equity	73.2%	59.8%	65.8%	41.5%	46.6%